

**BAKER
HUGHES**

Rpt Date 02/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)									
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m		Present Activity Wait								
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan									
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information									
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
Drill Collars			Drill Pipe			36	31 3/4	262.00	562.7	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
7 15/16	2 3/4	9.02	5	4.276	512.76	13 3/8	12.415	800.00	185									
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	817.00	Tot Active									
8	2 3/4	18.27							747.7	Circulation Times								
									In Storage	Surface to Bit		min/stks		Total System		min/stks		
									288	Bottoms Up		min/stks						
Mud Properties						Max Ann Velocity			Hole Information									
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure		psi	Water Depth		146.00 m			
Sample From					Active Pit			AV Casing	ft/min	Hole Flow		USgal/min	Riser Booster Rate		USgal/min			
Check Time					22:00			AV Open Hole	ft/min	Solids Analysis								
MD m					817.00			Vc Open Hole	ft/min	Property		1	2		3	4		
TVD m					817.00			Vc Drill Pipe	ft/min	LGS %		7.15						
Bit Depth m					779.00			Min Ann Velocity		LGS lb/bbl		65.16						
Density ppg			10.00-10.50		10.00			AV Riser	ft/min	HGS %		4.00						
Funnel Visc. sec/quart					83.0			AV Casing	ft/min	HGS lb/bbl		58.82						
Test Temp degF					120.0			AV Open Hole	ft/min	Avg Dens Sol sg		3.1736						
Rheol Temp degF					120.0			Bit Information										
PV cP					37			Size	12 1/4 in									
YP lbf/100ft^2					22			Hours On Bit										
10sec Gel lbf/100ft^2					12			Bit Number										
10min Gel lbf/100ft^2					21			BHA Number		4	Rheology							
HTHP Filtrate cc					4.0			Depth In		m	600 RPM		96					
HTHP Cake in/32					2.0			Bit RPM			300 RPM		59					
HTHP Temp degF					250.0			WOB		klbf	200 RPM		42					
HTHP Pressure psi					500			Nozzles		8x18	100 RPM		34					
Retort Water %					32.0			Bit Hydraulics			6 RPM		14					
Retort Base Fluid %					55.0			TFA	1.9880 in^2	3 RPM		12						
Retort Solids %					13.0			Nozzle Vel		ft/sec								
Corrected Solids %					11.1			Bit Press Loss		psi								
Oil:Water Ratio					63:37													

ADVANTAGE Daily Drilling Fluids Report - 27



INTEQ

Rpt Date 02/Dec/2006	Well Name/No Bilabri D4	Section Name/No 12-1/4" Section #3	Mud System SYN-TEQ (PARA)
Job# 1	Spud Date 09/Nov/2006	MD 817.00 m	Progress 0.00 m
Operator Peak Petroleum Indust. Limited	Company Rep James Blackmon / Chris Newton	Contractor Dolphin Drilling Ltd	Contractor Rep Ally Tough / Troy Nolan
Field/Lease Bilabri	Blk/Co/Parish OML - 122 / Nigeria	Area Offshore	Country/State Nigeria
Rig BULFORD DOLPHIN			

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	230	Weight Materials	Downhole	Left In Pit	Starting Volume	805.7	Riser w/o Pipe
Brine		Water	Cased Off	Trip Losses	Daily Additions	230	Casing w/o Pipe
Base Fluid		Product	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe
Recycled		Other	Discharged	Spill To Environment	Ending Volume	1035.7	String Displacement
			SCE	Onshore Disposal	Net Change	230.0	String Capacity
			Evaporation	Returned			Total Hole w/ Pipe
			Other Losses				Total Active
							Total Reserve

IADC Hours							
Drilling Formation	0	Tripping	0	Circulate	1	Wait	23

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	0.00	Daily Product Cost	0.00	Primary Product	184799.10
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	31556.25
Daily Engineering Cost	1350.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	1350.00	Total Daily Cost	0.00	Primary Total	216355.35
Total Inventory Value	585092.50	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	755008 lb

Products and Services													
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk													
MIL-BAR	1000 kg	145						145	540.00		88.87	103.97	
Oil Based Product													
CARBO-GEL	25 kg	80						80	264.28				
MIL-LIME	25 kg	80						80	34.25				
OMNI-COTE	55 USgal	4						4	2150.00				
OMNI-MUL	55 USgal	16						16	995.06		1.71	0.61	
OMNI-PLEX	55 USgal	10						10	1618.95		0.85	0.31	
OMNI-TEC	55 USgal	14						14	925.00		0.90	0.32	
PARA-TEQ	1 bbl	1315						1315	280.00				
Water Based Product													
CAUSTIC SODA	25 kg	32						32	37.89				
MIL-GUAR	25 kg	50						50	135.00		0.57	0.66	
SOLUFLAKE	25 kg	80						80	57.24				
Xanthan Gum	25 kg	40						40	345.22		0.97	1.14	
XCIDE 102	55 USgal	1						1	2508.30		0.01	0.01	
LCM													
CALCIUM CARBONATE - FINE	25 kg	160						160	22.68				
CALCIUM CARBONATE - MED	25 kg	120						120	22.68		1.85	2.17	
KWIKSEAL - MEDIUM	25 kg	35						35	70.52				
MIL-PLUG FINE	25 kg	56						56	27.01				
Other													
BLACK MAGIC SF T	25 kg	120						120	117.25				
CALCIUM CHLORIDE (97%)	25 kg	320						320	23.21		2.21	0.80	
SAW DUST	25 kg	29						29	12.50				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Jerry Laydoo / Ayo Okomayin	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	1350.00 USD	216355.35 USD	585092.50 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.